



Dynamics 365

Project management and accounting

Finance posting

Time and material

1. Time and material – No WIP – No accrual

Ledger setup

Standard view ▾

Project groups

Project group	Name
TM	Time & materials

Setup costs posted to “Profit and loss” for No WIP

General

Project type	Ledger posting search priority	Line property search priority	Default line property
Time and material	Category	Project	Billable
Verify cost against remaining forecast			
☒ No			

Ledger

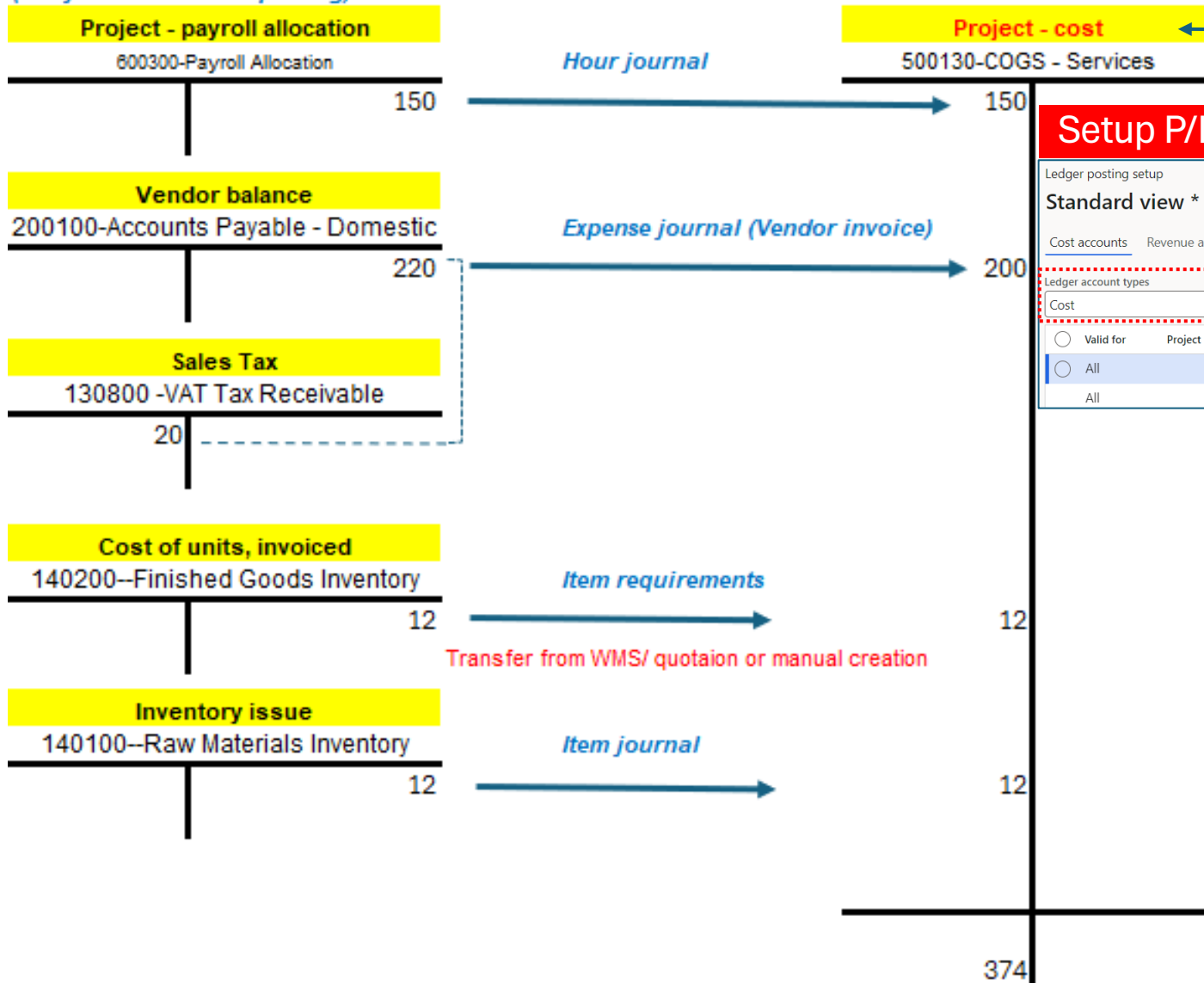
Post costs - hour	Post costs - item	Accrue revenue - hour	Accrue revenue - item
Profit and loss	Profit and loss	☒ No	☒ No
Post costs - expense	On-account invoicing	Accrue revenue - expense	Accrue revenue - fee
Profit and loss	Balance	☒ No	☒ No

On- account invoicing is always “balance”. It will not affect WIP since no cost in On-account transactions.

1. Time and material – No WIP – No accrual

Cost posting

(Fee journal : No cost posting)



Setup P/L accounts in project cost

Ledger posting setup

Standard view * ∨

Cost accounts Revenue accounts

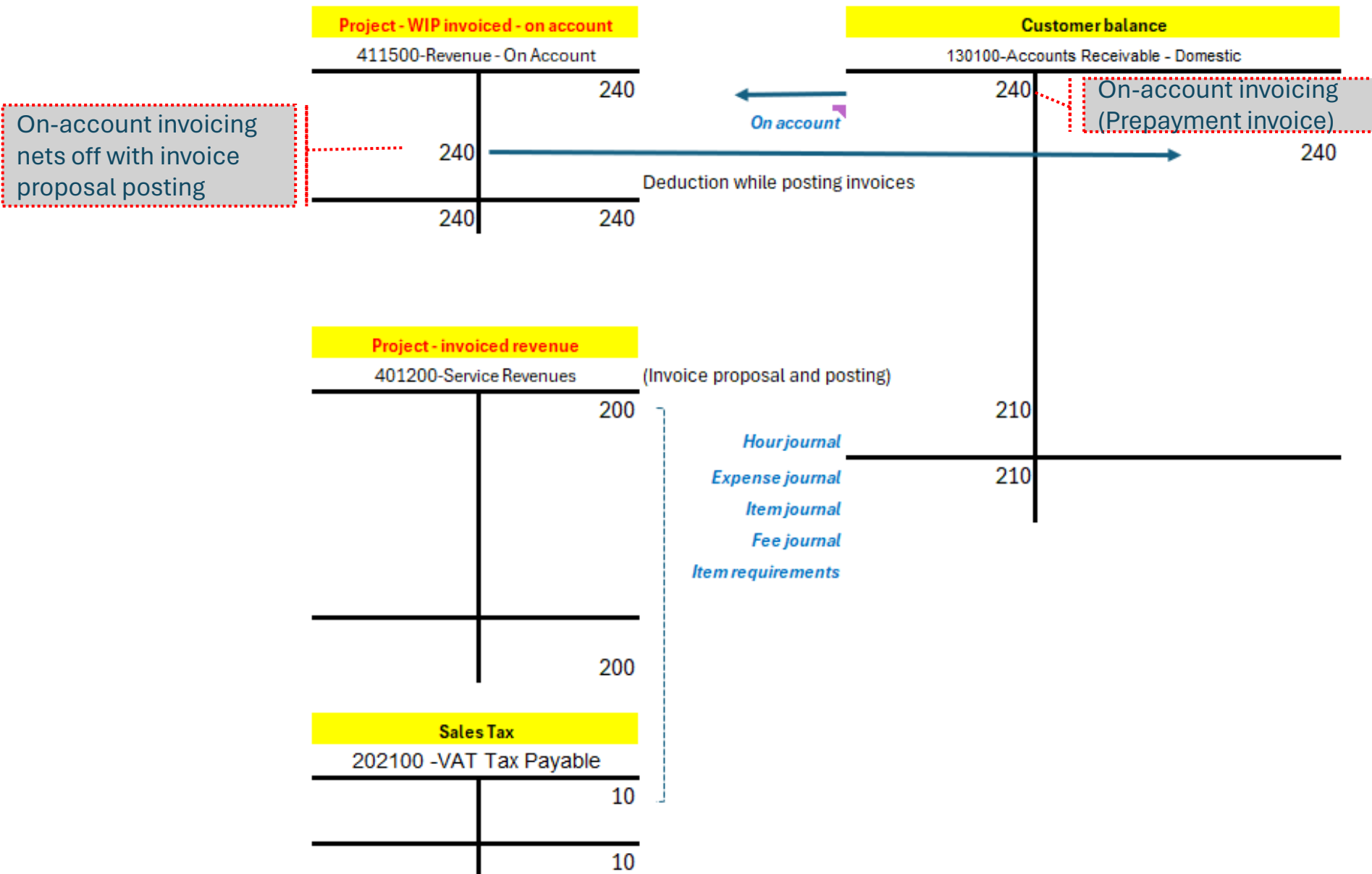
Ledger account types

Cost

	Valid for	Project relation	Funding source	Valid for	Category relation	Main account
☐	All			Group	M-Expense	500130
☐	All			Group	M-Hour	500130

1. Time and material – No WIP – No accrual

On account invoicing – Invoice proposal posting



2. Time and material – No WIP –Accrual

Ledger setup

Project management and accounting > Setup > Posting > Project groups

Setup ▾ All projects Project control ▾ Options 🔍

Standard view ▾

Project groups

Project group	Name
TMA-On	TMA-Profit and loss

General

Project type	Ledger posting search priority	Line property search priority	Default line property
Time and material	Category	Project	

Ledger

Post costs - hour	Post costs - item	Accrue revenue - hour	Accrue revenue - item
Profit and loss	Profit and loss	☒ Yes	☒ Yes
Post costs - expense	On-account invoicing	Accrue revenue - expense	Accrue revenue - fee
Profit and loss	Profit and loss	☒ Yes	☒ Yes

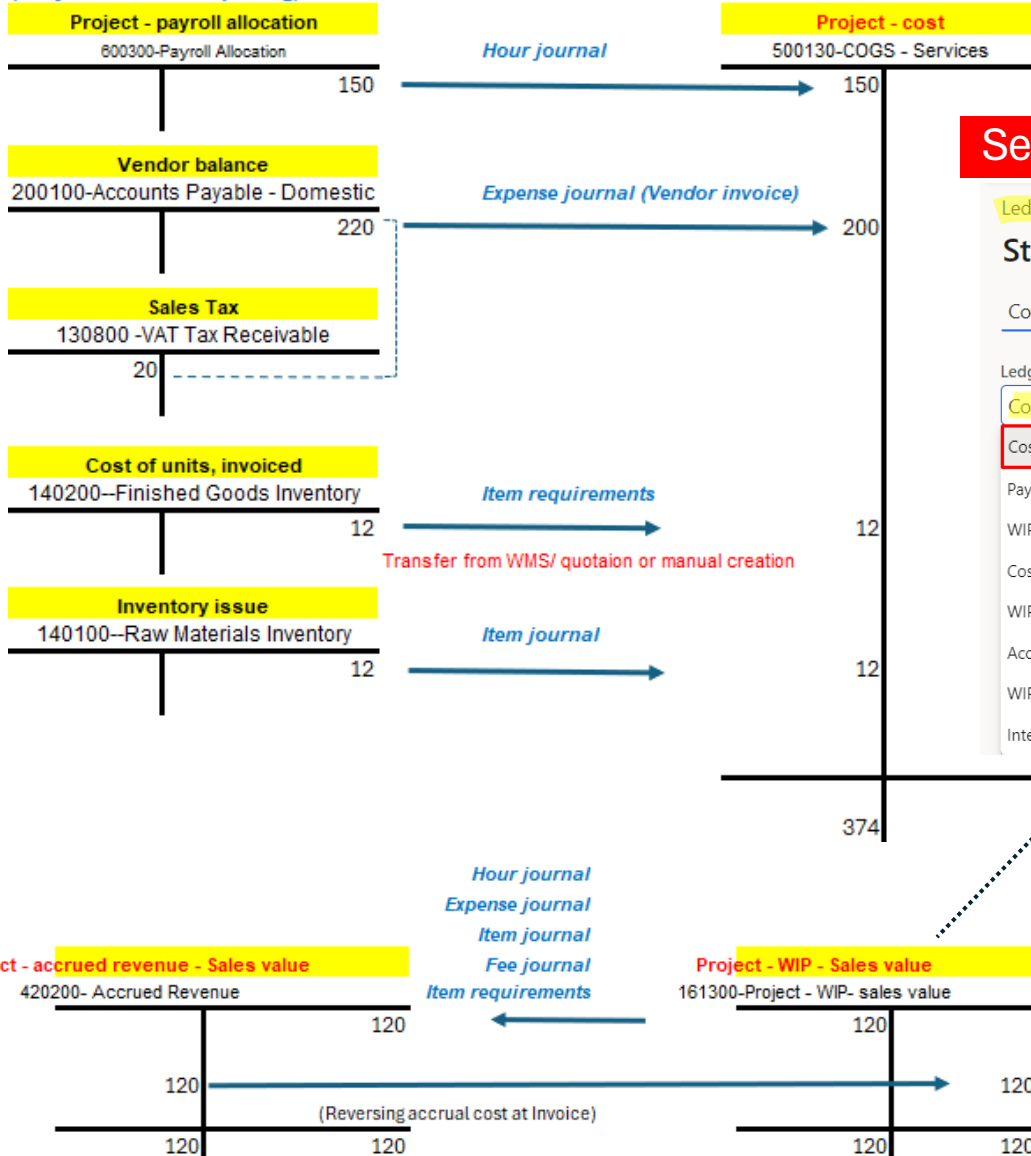
Enable accrual revenue posting to post revenue accrual while cost transactions are posting in Time and material projects.

When users post Item journal, Item requirement journal, Hour journal, Expense journal, Fee journal...Revenue accruals are posted

2. Time and material – No WIP – With accrual

Cost posting

(Fee journal : No cost posting)



Setup P/L accounts in project cost

Ledger posting setup

Standard view * ∨

Cost accounts Revenue accounts

Ledger account types

Cost

Cost

Payroll allocation

WIP - cost value

Cost - item

WIP - cost value - item

Accrued loss

WIP - accrued loss

Intercompany cost

Revenue Accrual

Ledger posting setup

Standard view * ∨

Cost accounts Revenue account

Ledger account types

Accrued revenue - sales value ∨

Invoiced revenue

Invoiced revenue - on-account

Accrued revenue - sales value

WIP - sales value

2. Time and material – No WIP – With accrual

On account invoicing – Invoice proposal posting

Project - WIP invoiced - on account		Customer balance	
411500-Revenue - On Account		130100-Accounts Receivable - Domestic	
	240	240	
240			240
Deduction while posting invoices			
240	240		

Project - invoiced revenue		Customer balance	
401200-Service Revenues		130100-Accounts Receivable - Domestic	
	200	210	
		210	
(Invoice proposal and posting)			
	200		

Hour journal
Expense journal
Item journal
Fee journal
Item requirements

Sales Tax	
202100 -VAT Tax Payable	
	10
	10

Project - accrued revenue - Sales value		Project - WIP - Sales value	
420200- Accrued Revenue		161300-Project - WIP- sales value	
	120	120	
120			120
(Reversing accrual cost at Invoice)			
120	120	120	120

Accrual
Accrual reversing entries are posted when actual invoices are posted

3. Time and material – With WIP

Ledger setup

Standard view ▾

Project groups

Project group: TMA-WIP Name: Time and material with WIP

General

Project type: Time and material Ledger posting search priority: Category Line property search priority: Project ▾ Default line property: Billable ▾

Verify cost against remaining forecast: ☐ No

Ledger

Post costs - hour: Balance ▾ Post costs - item: Balance ▾ **Accrue revenue - hour: ☐ No** Accrue revenue - item: ☐ No

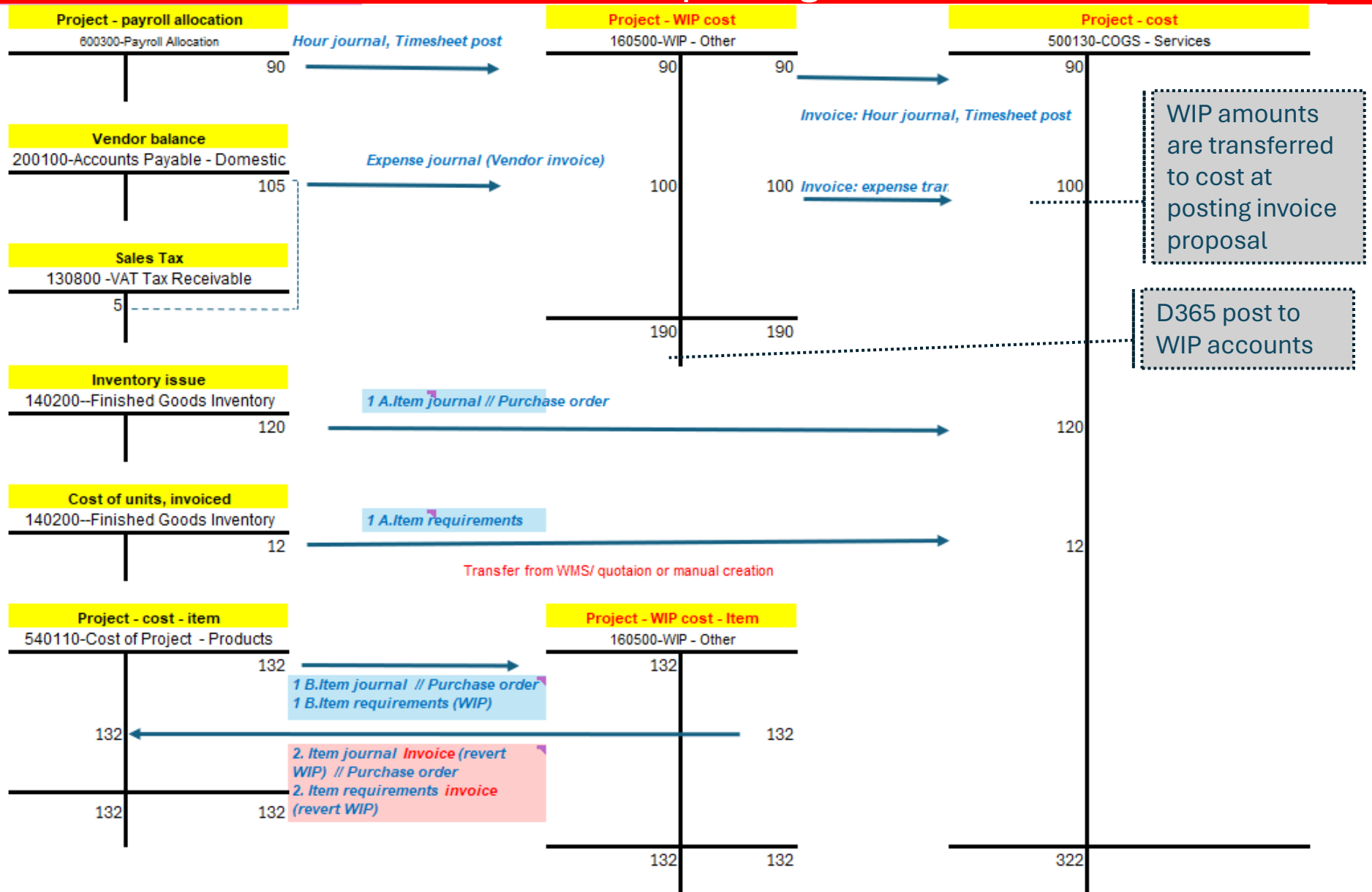
Post costs - expense: Balance ▾ On-account invoicing: Balance Accrue revenue - expense: ☒ No Accrue revenue - fee: ☐ No

Can't accrue hour if post costs- hour is selected as balance

Setup costs posted to "Balance" for WIP

3. Time and material – With WIP

Cost posting



3. Time and material – With WIP

On account invoicing – Invoice proposal posting

On-account posting and invoice proposal posting for WIP, no WIP are similar. Except for WIP posting scenarios, along with actual revenue recognition in Invoice proposal, costs are moved from WIP to Project cost. Reference cost posting for more details

